MBA AF 632 ASSET MANAGEMENT PRACTICUM FALL 2025
PROF. ATREYA CHAKRABORTY
STUDENT: URJA MISTRY (ID: 02210976)

SELL SIDE EQUITY REPORT

LOCKHEED MARTIN

NYSE: LMT
PRICE: $504 [10/13/2025]

RATING: BUY
TARGET PRICE: $667

EARNINGS CALL

Most recent Call: July 22, 2025
Next Call: October 21, 2025

VALUATION METRICS

Sector	Industrials
Industry	Aerospace & Defense
Market Cap	~$120 B
52 Week range	$410 - $619
ROIC	~15.2%
P/E ratio (TTM)	~20.7x
Beta	0.6
Price/Book	14.3x
Price/Sales	1.6x
Dividend yield	2.5% (Annual ≈ $13.20/share)
Projected upside	~32% (Target $667 vs $505)
1 yr return	+9%
3 yr return	+25%

FINANCIAL METRICS

Net Revenue	$71.0 B
Gross Profit	$8.8 B (≈ 12.4% margin)
Net Income	$6.9 B (≈ 9.7% margin)
Interest coverage	≈ 12.5×
LT Debt to Capital	≈ 47%
LT Debt to Assets	≈ 28%
ROA	7.80%
ROE	59%

DuPont ANALYSIS

Tax burden	0.79
Interest burden	0.94
Operating Margin	0.13
Asset Turnover	1.00x
Leverage Ratio	5.0x
Adjusted ROE	≈ 59%

COMPANY OVERVIEW

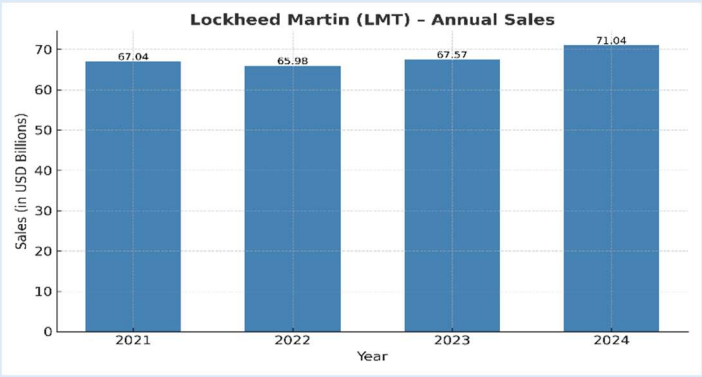
Lockheed Martin Corporation (LMT) is a leading aerospace, defense, and security company specializing in systems integration, advanced technologies, and mission-critical solutions. Its operations span four core segments: Aeronautics (e.g., F-35, fighters), Missiles & Fire Control, Rotary & Mission Systems, and Space Systems. The company holds strong relationships with the U.S. government, allied governments, and defense customers globally.

INDUSTRY OVERVIEW

The global aerospace and defense industry is experiencing renewed structural growth driven by heightened geopolitical tensions, modernization programs, and sustained increases in defense budgets. Global military spending surpassed **$2.3 trillion in 2024**, up over 8% year-over-year, with continued momentum expected through the decade as NATO and Indo-Pacific nations strengthen deterrence and modernization initiatives. The U.S. FY2025 defense budget of **$832 billion** underscores bipartisan commitment to advanced systems such as hypersonics, missile defense, and space-based technologies—sectors where incumbents like Lockheed Martin are strongly positioned.

Demand is shifting from traditional platforms to **technology-enabled capabilities**, including unmanned systems, cyber defense, electronic warfare, and AI-driven command and control. Parallel growth in **space infrastructure and sustainment (MRO)** adds recurring, high-margin revenue streams that enhance long-term visibility. While supply chain constraints and skilled labor shortages pose near-term execution risks, overall industry fundamentals remain robust, supported by modernization imperatives and increasing international defense collaboration.





Dividend Growth			Diluted EPS			Revenue Growth		
Year	Dividend per Share ($)	YoY % Change	Year	EPS ($)	YoY % Change	Year	Revenue (in Billions)	YoY % Change
2021	10.4	+6.1%	2021	22.76	–7.1%	2021	67.04	+2.5%
2022	11.2	+7.7%	2022	21.66	–4.8%	2022	65.98	–1.6%
2023	12	+7.1%	2023	27.55	+27.2%	2023	67.57	+2.4%
2024	12.6	+5.0%	2024	22.31	–19.0%	2024	71.04	+5.1%

INVESTMENT THESIS

1. **Diversified Portfolio and Mission-Critical Leadership:**
   Lockheed Martin maintains a dominant position across key defense domains — including Aeronautics, Missiles & Fire Control, Rotary & Mission Systems, and Space — with decades-long program visibility and stable cash flows. Its extensive backlog, exceeding $150 billion, reflects resilient global demand for defense systems like the F-35, PAC-3, and satellite programs. The company's strong customer base of the U.S. Department of Defense and allied nations ensures consistent revenue even during macroeconomic uncertainty.
2. **Sustained Demand and Strategic Tailwinds:**
   Global defense spending has entered a structural upcycle, surpassing $2.3 trillion in 2024 amid geopolitical instability. The U.S. FY2025 defense budget of $832 billion, alongside expanding NATO and Indo-Pacific procurement, provides long-term visibility for Lockheed's core programs. In addition, modernization initiatives across missile defense, space assets, and hypersonics continue to accelerate funding allocations toward high-margin technologies where LMT holds leading capabilities.
3. **Financial Strength and Shareholder Value:**
   Lockheed Martin generates robust cash flows, with over $6 billion in free cash flow annually, supporting a stable 2.5% dividend yield and consistent buybacks. Despite program-specific charges in 2025, the company's balance sheet and credit profile remain strong, reflected in its ~15% ROIC and ~59% ROE. Management's disciplined capital allocation and focus on cost control reinforce its long-term earnings trajectory.
4. **Attractive Valuation with Strong Upside Potential:**
   Lockheed Martin's stock is currently trading around **$507 per share**, which is below our estimated fair value of **$667**. This means there is about **32% upside potential** from the current price. The company's strong cash flows, stable dividend, and steady order growth support this higher valuation. While short-term challenges have affected margins, long-term demand for defense and space programs remains solid. Overall, Lockheed Martin is viewed as an attractive long-term opportunity offering reliable growth and consistent shareholder returns.

RISK ANALYSIS

1. **Market and Interest Rate Risk:**
   Lockheed Martin had **$21.6 billion** in total debt outstanding as of FY2024. A **10% change in interest rates** would not materially affect the fair value of this debt, according to management, but a sustained **1% rise in borrowing costs** could increase annual interest expense by roughly **$200–$250 million**. Similarly, a **10% unfavorable exchange rate movement** across major currencies (GBP, EUR, CAD, AUD, NOK, PLN) would not have a material impact on consolidated earnings due to effective hedging, though individual program margins could vary by **±1–2 %**.

2. **Program Execution and Cost Overruns:**
   Over **80% of revenue** comes from long-term contracts recognized under the percentage-of-completion method. Even a **1% increase in total program costs** could reduce operating income by **~$700 million annually**, given FY2024 sales of **$71 billion**. Delays or design changes in large programs such as the F-35 or classified projects can lead to multi-hundred-million-dollar charges, as seen in 2025's **$1.6 billion program loss**.

3. **Dependence on Government Contracts:**
   Approximately **74% of total sales** are to the U.S. Department of Defense, NASA, and other federal agencies. A **5% cut in defense procurement budgets** could reduce Lockheed's top line by roughly **$3.5–4.0 billion per year**, directly impacting earnings and cash flow. In addition, contract funding delays or government shutdowns can temporarily slow cash receipts and increase working capital needs.

4. **Pension and Benefit Obligations:**
   Lockheed's defined-benefit pension plans had a **$4.8 billion funding shortfall** at year-end 2024, with total obligations of **$27.2 billion** against **$22.4 billion** in assets. A **50 bps decrease in the discount rate** could increase pension liabilities by roughly **$1.2–1.5 billion**, while weaker asset returns could raise future contribution requirements.

5. **Foreign Currency and Counterparty Risk:**
   The company's foreign currency hedge portfolio totaled **$7.5 billion** in notional value at FY2024. Although hedging mitigates volatility, a breakdown in counterparty performance or sudden market dislocation could expose up to **$200–300 million** of potential mark-to-market swings, depending on currency mix and timing.

6. **Regulatory, Legal, and Cybersecurity Risks:**
   Compliance and cybersecurity incidents could result in financial penalties or contract loss. Given the scale of defense programs, a single contract suspension or data breach could cost **tens to hundreds of millions** in remediation and lost business. Cybersecurity and regulatory compliance costs already account for **1–2% of SG&A** annually and are expected to rise as government requirements tighten.

   While none of these risks appear immediately material to solvency, together they could create **annual earnings volatility of 5–10%** if multiple exposures occur simultaneously.

PORTER'S FIVE FORCES

Threat of New Entrants

Very Low- The defense and aerospace industry has extremely high entry barriers. New competitors face significant regulatory hurdles, multi-year procurement cycles, and capital requirements exceeding **$10 billion** for advanced system development. Lockheed Martin's decades of classified program experience and trusted government relationships make new entry nearly impossible.

Bargaining Power of Suppliers

Moderate- Suppliers provide specialized materials and subsystems, from avionics to composite components. While many are diversified, some critical inputs (e.g., jet engines, sensors, and microelectronics) come from a limited number of Tier-1 vendors like RTX and Honeywell. Supply chain tightness since 2022 has raised input costs by **2–3%**, pressuring margins, but Lockheed's scale and long-term contracts allow it to negotiate stable pricing and ensure delivery continuity.

Bargaining Power of Buyers

High- The **U.S. government accounts for roughly 74% of sales**, giving it strong negotiating power on price and performance. Although programs are often sole-sourced, the DoD and allied governments demand strict cost transparency and compliance. Even small technical deviations can lead to delayed payments or funding reallocation. Lockheed mitigates this through strong performance metrics and deep, multi-decade relationships with defense agencies.

Threat of Substitutes

Low- Few alternatives exist for advanced fighter jets, missile defense, or satellite systems. However, emerging technologies such as **autonomous systems and cyberwarfare capabilities** may partially replace some traditional defense platforms over the next decade. Lockheed's heavy investment in space, AI, and next-gen autonomy ensures it remains well-positioned as warfare technology evolves.

Rivalry Between Existing Competitors

High- Competition among the top U.S. primes — including **Northrop Grumman, RTX, General Dynamics, and Boeing Defense** — remains intense. Bidding margins are typically in the **8–12% operating range**, leaving limited room for pricing flexibility. However, Lockheed's scale, cost efficiencies, and technological edge in platforms like the **F-35** and **Aegis** systems continue to provide a defensible market share and consistent backlog growth.

Overall Assessment:

Despite high buyer power and strong peer competition, Lockheed Martin benefits from **deep technological barriers, scale advantages, and long-term government contracts** that maintain profitability and visibility. The industry's structure favors incumbents, ensuring continued cash flow stability and limited disruption risk